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JUDGMENT SHEET

LAHORE HIGH COURT

MULTAN BENCH MULTAN

JUDICIAL DEPARTMENT

W.P. No.214 of 2026

Mohsin Abbas, etc.

vs.

Secretary Communication and Works Punjab, etc.

J U D G M E N T

Date of Hearing:	24.02.2026
Petitioners by:	Rana Muhammad Asif Saeed and Rana Aneeq-ur-Rehman Advocates in present and connected W.P. Nos.604, 606 and 725 of 2026. Raja Naveed Azam, Advocate in W.P. Nos.663, 1098, 1122 and 1250 of 2026. Syed Muhammad Shahid Hashmi, Advocate in W.P. No.1050 of 2026. Mr. Muhammad Khalid Farooq, Syed Zain ul Abideen, Mr. Muhammad Bilal Talib and Ms. Amina Javaid Hashmi, Advocates in W.P. No.1683 of 2026. Mr. Nauman Aftab, Ms. Fatima Safeer, Syed Muhammad Kumail Haider, Mr. Sammar Abbas, Mis Memonah Ashiq and Mian Abbas Mehfoz Bhatti, Advocates, in W.P. No.2161 of 2026. Malik Ansar Abbas Dharalah, Advocate in W.P. No.1725 of 2026.
Respondents by:	Mr. Bashir Ahmad Buzdar, Assistant Advocate General alongwith Abbas Ali Law Officer, Muhammad Nazar, L.O. Office of CEO DHA Vehari, Nasir Ali, Law Officer C&W, Mujahid Iqbal, AD Legal, Education D.G. Khan, Muhammad Waseem Chishti, Education Department, D.G. Khan and Khizar Hayat, SI, CTD.

Anwaar Hussain, J. Through this single judgment, the present as well as connected constitutional petitions bearing W.P. Nos.604, 606, 663,

725, 1050, 1098, 1122, 1250, 1683, 1725 and 2161 of 2026, are being simultaneously decided as common question of law is involved.

2. Before proceeding further, it will be appropriate to give brief facts of each case.

- i. **W.P. No.214 of 2026:** The petitioners are employees of Communication and Works Department, Government of Punjab who have laid challenge to impugned order dated 10.12.2025, whereby their request for regularization has been declined, contending that they were inducted in service on 29.08.2022, for a period of five years, upon the recommendations of Punjab Public Service Commission (“**Commission**”) and when period of three years was completed, they approached for regularization in accordance with the Punjab Regularization of Service Act, 2018 (“**the Regularization Act**”) through individual and combined applications, which were rejected through the impugned order on the ground that the Regularization Act has been repealed through the Punjab Regularization of Service (Repeal) Act, 2025 (“**the Repealing Act**”).
- ii. **W.P. No.604 of 2026:** The petitioner was employed as Medical Laboratory Technologist (BS-17) with Health Department on contract basis, on 16.08.2017 for a period of one year that was extended till 25.08.2024, which has expired and her request for regularization has been rejected, *vide* impugned order dated 14.11.2025.
- iii. **W.P. No.606 of 2026:** The petitioners were employed in a project by the Health Department, as Security Guards and Aya (invariably w.e.f. 01.04.2015 for the period of one year, which was extended from time to time) and they were working in the project, which was converted into Schedule of New Expenditure (“**SNE**”) and their services were extended till 30.06.2025, however, their representation for regularization was rejected, *vide* impugned order dated 27.11.2025.
- iv. **W.P. No.663 of 2026:** The petitioner was employed as Driver of Health Department on contract basis on 29.07.2022 for a period of three years, which has expired and his representation

for regularization has been dismissed, *vide* impugned order dated 27.11.2025.

- v. **W.P. No.725 of 2026:** The petitioners were employed with Health Department as Security Guards (invariably w.e.f. 09.04.2015 for the period of one year, which was extended till 30.06.2025) and they were working in a project, which was converted into SNE, however, their representation for regularization was rejected, *vide* impugned order dated 03.12.2025.
- vi. **W.P. No.1050 of 2026:** The petitioners are Educators, who were appointed on contract basis (invariably on different dates including 02.05.2015 for a period of five years) with Education Department. The contractual appointment of petitioners No.1 to 3 was terminated due to domicile dispute, however, the petitioners were reinstated and performing their duties alongwith other petitioners. They are seeking regularization of their services.
- vii. **W.P. No.1098 of 2026:** The petitioner is employee of Police Department as Naib Qasid, who was appointed on contract basis for a period of three years w.e.f. 06.10.2015, which was extended from time to time till 05.10.2021. The contractual appointment was terminated on account of registration of the criminal case, however, he was reinstated by the order of the Court since he was discharged from the said case and the representation of the petitioner for regularization has been rejected, *vide* order 09.12.2025.
- viii. **W.P. No.1122 of 2026:** The petitioner was working as *Maali* with Education Department, who was appointed on contract basis on 01.03.2010 for a period of five years and removed from service on 05.05.2015, which order was set aside by the order of this Court dated 22.11.2023 and lastly, his contractual tenure has been extended till 12.12.2025. He is seeking regularization of his services *albeit* his contract has expired.
- ix. **W.P. No.1250 of 2026:** The petitioners, who were appointed on contract basis on 12.05.2022 for a period of five years, are working as Educators with Education Department and seeking regularization of their services.

- x. **W.P. No.1683 of 2026**: The petitioner, who was appointed on contract basis on 28.02.2018 for a period of five years, as Educator with Education Department and seeking regularization of her services *albeit* her contract has expired. It is imperative to note that the petitioner is not in service since 2023 and no extension is available on record, however, the petitioner avers that her name was included in the list forwarded for regularization.
 - xi. **W.P. No.1725 of 2026**: The petitioner, who was appointed on contract basis on 02.08.2017 for a period of five years, is working as Educator with Education Department, which appointment was withdrawn on 24.04.2018 and in compliance with order of this Court, he was reinstated into service on 10.01.2023 and his representation for regularization has been rejected *vide* order 13.01.2026.
 - xii. **W.P. No.2161 of 2026**: The petitioners, who were appointed on contract basis on 17.06.2022 for a period of three years, which has been extended till June, 2026, are working as Junior Technicians and Telephone Operators with Health Department and seeking regularization of their services.
3. The present controversy has stemmed from the promulgation of the Punjab Regularization of Service (Repeal) Ordinance, 2025 (“**the Ordinance**”), on 31.10.2025, later on becoming the Repealing Act on 18.12.2025, after it was passed by the Provincial Assembly, whereby the Regularization Act was repealed.
4. Learned counsel for the petitioners have mainly relied upon the reported judgment of this Court dated 15.01.2026 passed in W.P. No.70730 of 2025¹ to contend that the Repealing Act has no retrospective application as saving clause under the Ordinance as well as the Repealing Act clearly protects the employees who have met the threshold requirement of three years’ service before 31.10.2025, when the Ordinance came into force.

¹Muhammad Shahid Sharif & another v. Addl. Chief Secretary, Govt. of the Punjab & others (2026 LHC 1090)

5. Conversely, learned Law Officer contends that the saving clause only safeguards those employees whose regularization orders have been passed before 31.10.2025. Adds that in cases where the initial appointment, on contract, was without the advice of the Finance Department, the same defeats the mandate of Rule 19 of the Punjab Government Rules of Business, 2011 (“**Rules 2011**”) and such employees are not entitled to any concession. Further contends that in the cases where contractual employees were terminated and they were reinstated in service by the orders of the Court, they cannot be treated as to be continuously serving for three years, which is the basic eligibility requirement for regularization under Section 3 of the Regularization Act. Also avers that, in essence, the petitioners’ contractual appointments are governed by master and servant relationship and the effect of repeal has not been examined by this Court in the judgment rendered in case of *Muhammad Shahid Sharif supra*, keeping in view the law laid by the Supreme Court of Pakistan regarding regularization of services of the contract employees. Learned Law Officer concluded the argument with the averments that in cases where the petitioners were employed in a project and, the same has been converted into SNE, they cannot be considered for regularization. In support of his contentions, places reliance upon cases reported as *Secretary Local Government, Election Rural Development, Khyber Pakhtunkhwa and others v. Muhammad Tariq Khan and others*²; *Vice-Chancellor, Bacha Khan University Charsadda, Khyber Pakhtunkhwa and others v. Tanveer Ahmad and others*³; *Vice-Chancellor Agriculture University, Peshawar and others v. Muhammad Shafiq and others*⁴; and *Mohsin Raza Gondal and others v. Sardar Mahmood and others*.⁵

² (2021 SCMR 1433)

³ [2022 PLC (C.S.) 85]

⁴ (2024 SCMR 527)

⁵ (2025 SCMR 104)

6. In rebuttal, learned counsel for the petitioners relied upon reported judgment of the Supreme Court of Pakistan⁶ to contend that Regularization Act was a beneficial enactment, which is to be interpreted purposively and conversion of a project into SNE confers right upon such project employees to the benefit of the Act *ibid*.

7. Arguments heard. Record perused.

8. Following legal question arises for determination by this Court:

Whether a contract employee—otherwise eligible for regularization under the Regularization Act—can still be regularized after the repeal of the Regularization Act regardless of whether the contractual employment is subsisting or has ended in the meanwhile?

Before addressing the core legal question, formulated hereinabove it would be appropriate to briefly encapsulate the nature of the contractual employment and the aim and the object of the Regularization Act.

9. Contractual employment is one of the categories of employment in the Province of Punjab.⁷ The Government of Punjab (“**the Government**”) has, from time to time, recruited employees on contractual basis in terms of the Contract Appointment Policy 2004 (“**the Policy**”). Such contractual engagements, by their very nature, do not create any vested right in favour of the incumbents to claim entry into the regular civil service.⁸ The terms of appointment expressly confined their tenure to the contractual period, and the judicial view had been that a contract employee cannot, merely by continuation of service, demand regularization as a matter of right until

⁶ Province of Punjab through Chief Secretary, Lahore and others v. Qasim Mehmood and others (2025 SCMR 14)

⁷ The other categories, *inter alia*, are (i) civil servants; (ii) the workmen as defined under the Labour Laws in vogue; and (iii) employees of the statutory bodies and local government(s).

⁸ Clause 11 of the ‘Guidelines for fixing terms and conditions of contract appointments’ appended as Annex-B with the Policy contemplates ---- “**No right of Regular Appointment:** Contract appoints shall not confer any right of regular appointment nor shall such appointment be regularized under any circumstances.”

the Government through Notification dated 14.10.2009⁹ (“**Regularization Policy**”) decided to regularize the contract employees.

10. However, the position underwent a material transformation with the promulgation of the Regularization Act. Unlike a policy framework, which operates within the domain of the executive discretion, the Regularization Act is a legislative instrument and is a self-executing statute in the sense that it does not merely declare an intention to regularize; rather, it prescribes the eligibility criteria, conditions and the procedural mechanism through which regularization is to be effected. Sub-Section (3) of Section 1 of the Regularization Act contemplates as under:

“1. **Short title, extent, application and commencement.**—(1)....
(2)....
(3) It shall apply to all persons employed on contract in a department, who have completed three years continuous service before or after the commencement of the Act.”

(Emphasis supplied)

Sub-Section (2) of Section 3 of the Regularization Act reads as under:

“3. **Regularization, etc.** (1).....
(2) Notwithstanding anything contained in the Act, the contract employees who have continuously been serving as such for a period not less than three years shall be eligible to be considered for appointment on regular basis if:

⁹ No.DS(O&M)5-3/2004/Contract(MF)—“In exercise of the powers conferred upon him by rule 23 of the Punjab Civil Servants (Appointment and Conditions of Service) Rules, 1974, the Chief Minister, Punjab is pleased to order appointments, on regular basis, in relaxation of the relevant service rules, of the employees in BS-1 to 15, recruited on contract basis under the provisions of the Contract Appointment Policy issued by the S&GAD in 2004 against the posts presently held by them in various Government Departments of the Punjab, with immediate effect. However, the contract employees working against posts in various projects/programmes/PMUs/PMOs and other time-bound (one-time) development activities shall not be covered by this notification.

2. For the purpose of this notification, the Chief Minister, Punjab has further been pleased to withdraw the posts in BS-11 to 15 presently held by the contract employees, as mentioned in rule 16 of the Punjab Civil Servants (Appointment and Conditions of Service) Rules, 1974 from the purview of the Punjab Public Service Commission in terms of rule 5 of the Punjab Public Service Commission (Functions) Rules, 1978.”

- (a) a regular vacancy allocated for initial recruitment is available for regularization;
- (b) he is qualified for the post;
- (c) he has not been appointed on a special pay package;
- (d) his performance during the period of contract has remained satisfactory; and
- (e) he does not opt to continue as contract employee.

(Emphasis supplied)

The procedural mechanism under the Regularization Act is envisaged as under:

“4. Procedure for regularization.— (1) The case of a contract employee appointed on the recommendations of the Commission **shall be submitted to the appointing authority** for regularization without reference to the Commission or the Scrutiny Committee.”

(Emphasis supplied)

The Supreme Court of Pakistan¹⁰ held that **regularization must be mandated by law or must be carried out through a well-thought policy.** In Punjab, initially it was the Regularization Policy which was applicable to the contract employees, however, once the legislature stepped in and codifies the field in terms of the Regularization Act, the matter ceased to remain one of executive grace. The statutory scheme replaced policy discretion with legally regulated authority by clearly contemplating eligibility criteria. Where a contractual employee fulfills the conditions laid down in the Regularization Act—continuous service for the prescribed period, availability of vacancy, requisite qualification and satisfactory performance—the authority is no longer vested with unfettered discretion but has to act within the statutory mandate. The right that accrues in such circumstances is not a claim founded upon equity or parity, but a right traceable directly to the legislation.

¹⁰ Vice-Chancellor Agriculture University Peshawar *supra* 4, para 5.

11. At this juncture, it will be appropriate to address the other arguments of learned Law Officer before taking up the nub of the matter pertaining to the effect and scope of the Repealing Act. As regards objection that in cases where initial appointment of a contractual employee was without approval of the Finance Department, no right of regularization arises, it is imperative to observe that the appointments by the Government are not made in a vacuum. They are ordinarily processed either through the Commission, Scrutiny and/or Selection Committees, or through departmental summaries initiated for approval by the Chief Executive of the Province or the Competent Authority like Head of Administrative Department concerned. These mechanisms reflect structured administrative decision-making. Rule 19 of the Rules 2011 pertains to inter-departmental consultation and coordination within the executive branch. It is procedural in character and regulates how the departments interact with each other; it does not operate as a condition precedent capable of nullifying the appointments once made under an approved policy framework. Even assuming, *arguendo*, that there was some lapse in obtaining consultation with the Finance Department at the stage of the initial contract appointments, such lapse would remain an internal matter of the governmental procedure. Members of the public, including the employees concerned like the petitioners, are neither expected nor required to investigate whether inter-departmental consultation was perfectly adhered to. The validity of such appointments cannot later be impeached, on the basis of internal coordination issues. Moreover, these employees have served for years and have been paid regularly. Had there truly been a violation of mandatory financial concurrence under Rule 19, of the Rules 2011, the Accounts Officer(s)—being functionally integrated with the Finance Department—would have raised objections at the time of release of salary or the budget allocation. The uninterrupted disbursement of salary and continued engagement strongly negate the plea that the appointments were fundamentally flawed.

The objection, therefore, appears to be an afterthought, advanced only to circumvent the statutory consequences flowing from the Regularization Act and the saving clause of the Repealing Act.

12. In so far as objection that the break in service of a contractual employee disentitles him from regularization is concerned, learned Law Officer has argued that in certain cases, contractual appointments were terminated by the department and subsequently reinstated by the Court's order, hence, such petitioners do not fulfill the requirement of continuous service under Section 3 of the Regularization Act. This submission is misconceived. Where a termination has been set aside and reinstatement granted by the Court, the legal effect of such reinstatement restores the employee's service relationship. Any interruption caused by an order, which has been set aside by a Court and holding the field, cannot be invoked by the employer to deny statutory benefits under the Regularization Act. Continuity of service, for purposes of regularization, must be assessed purposively; the aggregate period served before termination and after reinstatement satisfies the three-year threshold if the statutory conditions are otherwise met. A technical construction of the continuous service in such manner penalizing an employee undermines the beneficial purpose of the Regularization Act.

13. As regards objection that an employee working against a position originated as a project post is not entitled to benefit of the Regularization Act, this Court is of the opinion that the argument of learned Law Officer has force inasmuch as the law on the subject has been settled by the Supreme Court of Pakistan¹¹ followed by a learned Division Bench of this Court¹² in the terms that Section 3 of the Regularization Act is not applicable to the project employee(s), which were excluded from the

¹¹ Government of Khyber Pakhtunkhwa through Chief Secretary and others v. Muhammad Younas (2021 SCMR 1045).

¹² Qadeer Ali etc. v. Province of Punjab etc. [PLJ 2025 Lahore 995 (DB)].

ambit of regularization in terms of Section 2(c)¹³ of the Act *ibid*. The learned Division Bench held as under:

“8. ...We do not scribe to the argument that status of project employee would ipso facto change, simplicitor, upon conversion of the Project from development to non-development category, which conversion in this case was otherwise effected after promulgation of Act, 2018, which enactment specifically excludes project employees from its ambit. Constitutional court has no authority to direct inclusion of category of project employee for the purposes of extending the benefit of Act, 2018 – by way of changing the status of an employee. This kind of intrusion is an act in excess of jurisdiction.”

Hence, reliance placed on case of *Qasim Mehmood and others*¹⁴, is misconceived on account of distinguishable facts. In the said case, the project was converted from development to non-development side in the year 2006-2007 when neither the Regularization Act nor any policy framework was in field. However, it is imperative to note that claim of regularization of services of such project employees, where project is converted into SNE, is covered through another Policy Letter of the Government titled ‘Appointment of Employees of Different Projects on Regular Basis after conversion of project from development to non-development side’¹⁵ (“**Policy 2022**”), whereby certain advantages were extended to such employees by way of age relaxation and acknowledgment of the experience gained for the relevant post. Thus, the exclusion of the project employees from the definition of contract employee in terms of Section 2(c) of the Regularization Act coupled with certain rights/privileges conferred on the project employees after the conversion of the project makes them a species of employees different from the contract employees, who are statutorily entitled to regularization.

¹³ “contract employee” means an eligible person appointed on contract in a department immediately before the commencement of the Act but **does not include a person appointed to a post in a project, programme, project management unit, project management office, time bound (one-time) development activity or as work-charged employee or an employee on daily wages; (Emphasis supplied).**

¹⁴ *Supra* 6

¹⁵ No. SO(ERB)5- 3/2014/Contract (Project) dated 06.06.2022.

14. Adverting to the core legal question formulated hereinabove regarding the effect of the Repealing Act, it would be appropriate to understand the object and scope of a repealing enactment. Repealing a law is the legislative act of officially revoking, cancelling, or abolishing an existing statute, rendering it no longer in force. This process, *inter alia*, aims at removing obsolete laws, and adapting to changing socioeconomic conditions. The effects of a repeal are largely determined by examining as to whether the new legislation includes savings clause to protect existing rights and proceedings. To ensure legal continuity, repealing legislation uses saving clause/provision, which dictates that, unless otherwise stated, a repeal does not affect the **previous operation of the law, or any rights, liabilities, and penalties accrued, nor does it affect ongoing legal proceedings** to prevent the immediate, disruptive destruction of accrued rights and pending cases.

15. Effect of repeal of an enactment is dealt with by Article 264 of the Constitution of the Islamic Republic of Pakistan, 1973 (“**the Constitution**”) that reads as under:

“264. Effect of repeal of laws. Where a law is repealed, or is deemed to have been repealed, by, under, or by virtue of the Constitution, the repeal shall not, except as otherwise provided in the Constitution___

(a) revive anything not in force or existing at the time at which the repeal takes effect;

(b) **affect the previous operation of the law** or anything duly done or suffered under the law;

(c) **affect any right, privilege, obligation or liability acquired, accrued or incurred under the law;**

(Emphasis supplied)

The effect of repeal of a statute is also envisaged under Section 4 of the Punjab General Clauses Act, 1956 (“**the Act 1956**”), which reads as under:

“4. Effect of Repeal.— (1) Where this Act or any other Punjab Act repeals any enactment then, unless a different intention appears, the repeal shall not—
 (a) revive anything not in force or existing at the time at which the repeal takes effect;
 (b) **affect the previous operation of any enactment** so repealed or anything duly done or suffered thereunder; or
 (c) **affect any right, privilege, obligation** or liability acquired, accrued or incurred under any enactment so repealed; or
 (d) affect any penalty, forfeiture or punishment incurred in respect of any offence committed against any enactment so repealed; or
 (e) affect any investigation, **legal proceeding** or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture or punishment as aforesaid; and any such investigation, legal proceeding or remedy may be instituted, continued or enforced, and any such penalty, forfeiture or punishment may be imposed as if the Repealing Act had not been passed.
 (2) The provisions of sub-section (1) shall apply on the expiry or withdrawal of any Ordinance promulgated by the Governor as if it had been repealed by the Punjab Act.”

(Emphasis supplied)

Section 2(2) of the Repealing Act also contains a saving clause that reads as under:

“2. Repeal and Saving.—(1).....
 (2) Notwithstanding the repeal of the Punjab Regularization of Service Act, 2018 (XV of 2018) under sub-Section (1), **anything done or action taken** under any provision of the repealed Act, shall continue to have effect **as if the said Act has not been repealed.**”

(Emphasis supplied)

16. What is required to be determined is the scope of words “**anything done or action taken**” and “**shall continue to have effect as if the said Act has not been repealed**” used in Section 2(2) of the Repealing Act. This provision of the Repealing Act envisages a legislative fiction. It contemplates that any act done or action taken under the Regularization

Act shall continue to have effect as if the Regularization Act has not been repealed. The expression ‘anything done or action taken’ are to be interpreted keeping in sight the fact that the legislature in its wisdom conferred an entitlement/eligibility to those contractual employees who completed three years’ continuous service subject to certain conditions as examined hereinabove i.e., existence of vacancy etc., and nothing else can be an impediment to nonsuit such employees let alone inaction on part of the administrative department concerned, to process/submit the case of such employees to the appointing authority for regularization. The Supreme Court of Pakistan¹⁶ has explained that Article 264 of the Constitution expressly saves “*any investigation, legal proceeding or remedy*” in respect of an accrued right or privilege and permits such proceeding to be “*instituted, continued or enforced ... as if the law had not been repealed.*”

17. Keeping in sight the above analysis of Article 264 of the Constitution, Section 4 of the Act 1956, and Section 2(2) of the Repealing Act, this Court is of the opinion that where a contractual employee had completed the requisite three years’ of continuous service during the subsistence of the Regularization Act, said employee is entitled that his case be dealt with as if the Regularization Act is still holding the field irrespective of whether the employer department of the Government itself processed the case of such employee for regularization or such employee filed an application or a constitutional petition in this regard and in the meanwhile the contractual term expired inasmuch as any other interpretation would defeat the beneficial object of the Regularization Act, which the Supreme Court¹⁷ has recognized in the following terms:

10. There is no improbability in our mind to put into clear words that **the Act was promulgated with the fair intention to accommodate and regularize the services of the contractual employees who gave their**

¹⁶ Muhammad Arif vs. The State and another (1993 SCMR 1589).

¹⁷ Qasim Mehmood and others, *supra* 6.

blood, toil, tears, and sweat for many years. Therefore, it is the responsibility of the Government to apply and allow the benefit to all employees placed in equal and similar circumstances without any discrimination, and not to pick and choose the employees for conferring the benefit or advantage of this law. The implementation of the Act should be unbiased and nondiscriminatory, rather it should be evenhanded, fair and square. When the law giver enacts any beneficial law, it must be implemented across the board with assiduousness and meticulousness without any conservative or rigid approach. It is often seen that the implementation of beneficial statutes meant for civil servants and labourers are unnecessarily delayed, which forces the deprived persons to knock the doors of the courts. If the implementation is made in its letter and spirit within a reasonable period of time, then this of course would also decrease unnecessary burden on the court's docket.

(Emphasis supplied)

Moreover, status of those employees whose cases were processed before the passing of the Repealing Act and not concluded or who promptly filed the application and/or a constitutional petition while they were in service stands even on better footings than those whose contract expired and the administrative department did not discharge its obligation of processing and/or placing their case for consideration to regularize said employees. Therefore, reliance placed by the petitioners' side on case of *Muhammad Shahid Sharif supra* is apt, and it is erroneous on part of the Government to contend that the effect of repeal has not been considered by this Court in the said case.

18. The principal objection of the Government is that with the promulgation of the Repealing Act, the statutory foundation for regularization has ceased to exist and, therefore, no employee can now assert any enforceable claim on the basis of the Regularization Act. It is contended that contractual engagement, by its very nature, does not confer a vested right and that the repeal has foreclosed all pending or prospective

claims. The argument, though attractive at first blush, does not withstand constitutional and statutory scrutiny in cases where the eligibility of an employee had matured during the currency of the Regularization Act. The distinction between a mere expectation and a matured entitlement is crucial. Where the statutory preconditions—such as completion of three years’ continuous service against a sanctioned post—stood fulfilled while the Regularization Act remained in force, the employee’s right to be considered in terms of the Regularization Act cannot be treated as illusory or inchoate.

19. Scope of saving clause of the Repealing Act can be analyzed from another perspective. It is imperative to note that Section 10 of the Regularization Act reinforces the position that the Regularization Act is a beneficial legislation. Section 10 reads as under:

“10. Option for regularization.—A contract employee who does not wish to be regularized shall furnish his option to the appointing authority within sixty days from the commencement of the Act; otherwise, he shall be deemed to have opted for regularization.”

Section 10 of the Regularization Act, if read in its true perspective and in harmony with the overall statutory scheme, demonstrates that the legislature created a substantive right coupled with a statutory option in favour of contractual employees. The provision was not merely procedural; it conferred upon such employees a choice—either to opt for regularization under the Regularization Act or to continue under the contractual regime. Significantly, the legislature did not leave the matter at large. It incorporated a deeming clause (Section 10) to the effect that where an eligible employee did not exercise the option to decline regularization, he or she would be deemed to have accepted regularization in accordance with law. This deeming clause was not ornamental; it created a legal fiction designed to advance the object of the statute. The fiction operated beneficially, ensuring that an employee’s silence would not be construed to his detriment but rather in favour of security of tenure.

The moment the statutory conditions—most notably the completion of three years’ service against a sanctioned post—stood fulfilled during the currency of the Regularization Act, the legal consequences contemplated by Section 10 stood attracted. At that stage, the right ceased to be contingent upon executive discretion and acquired the character of a statutory entitlement.

20. The matter needs to be examined from yet another angle. The State—being a model employer—cannot rely upon legislative transition to defeat the rights that had already ripened under a validly enacted statute. To permit retrospective divestment, in absence of clear legislative mandate, would offend the rule of law and the constitutional guarantees. In addition, Section 4 of the Regularization Act imposed a mandatory obligation upon the competent authority to process cases of eligible employees in accordance with law. Once the qualifying service stood completed, the authorities were under a statutory duty to examine and process such cases. The failure of the department to formally issue a notification cannot defeat the substantive right that had already crystallized. Administrative inaction cannot nullify a statutory consequence. It may also be instructive to draw guidance from comparative constitutional jurisprudence. The Supreme Court of India¹⁸ directed regularization of long-serving contractual employees even in the absence of a specific regularization statute. The decision was anchored in constitutional principles of fairness and the doctrine that the State must act as a model employer. The Supreme Court of India held that fundamental rights are not diluted merely because employment is contractual, and that long years of service generate equitable considerations, which cannot be defeated by mechanical reliance on the contract clauses and the State, as a welfare entity, was cautioned against adopting a purely technical or commercial approach to disengage such employees.

¹⁸ Bhola Nath v. State of Jharkhand & ORS (2026 INSC 99)

21. In view of the above discussion, the present as well as connected petitions are **disposed of** in the following terms:

- i. The Repealing Act is applicable prospectively; and in cases where the petitioners are in service under a contract and performing their duties and have completed a period of three years' service prior to 31.10.2025, their cases shall be dealt with and forwarded for regularization strictly in accordance with Sections 3 and 4 of the Regularization Act;
- ii. In cases where the petitioners' three-year service period was completed and they filed an application for regularization before the cut-off date, i.e., 31.10.2025, or approached this Court and a direction was passed for deciding their application and the same has been rejected merely on the basis of repeal of the Regularization Act or the expiry of the contract, the impugned orders are set aside and their cases shall be processed afresh in accordance with Sections 3 and 4 of the Regularization Act;
- iii. In cases such as W.P. No.1683 of 2026, where the petitioner claims that her name was recommended for regularization but no proof thereof has been appended and she has approached this Court after two years from the expiry of the contract of appointment, it is held that such employee has no right to claim regularization;
- iv. The employees who were initially inducted in a project can seek benefit of the Policy 2022 but have no claim under the Regularization Act; and
- v. In cases where the appointments were made, *inter alia*, without the approval of the Administrative Department or otherwise without any advertisement or conducting interview or preparing merit lists or holding a meeting of the District Recruitment Committee and recording minutes thereof, and penal action has been taken against the hiring officials, such candidates have no right to be considered for regularization under the Regularization Act.

22. For the purpose of completeness and clarification, it is held that failure of the Administrative Department concerned to consult the Finance Department in terms of Rule 19 of the Rules 2011, at the time of initial

appointment(s) has no bearing on the right of such appointees to be considered for regularization. Similarly, the aggregate period served before termination and after reinstatement satisfies three years' threshold if the conditions under Section 3 of the Regularization Act are otherwise met.

(ANWAAR HUSSAIN)
JUDGE

Approved for reporting

Judge

Maqsood